

for borrowers to receive what is owed. They are backed by the full faith and credit of the US government. Treasuries are also free from state and local taxes.

In recent years, financial innovation has led to the creation of many new types of fixed-income instruments with varying risk and return potential, but the retirement income planning discussion here is about using traditional government or noncallable (face value cannot be repaid early) high-quality corporate bonds to support a retirement income strategy.